

Annual pricing report 2006–07 Electricity Distribution Services

1 March 2006

ActewAGL

ActewAGL Distribution ABN 76 670 568 688
A partnership of ACTEW Distribution Ltd ABN 83 073 025 224 and
AGL Gas Company (ACT) Ltd ABN 24 008 552 663
Head Office: ActewAGL House, 221 London Circuit, CANBERRA ACT 2600
GPO Box 366, CANBERRA ACT 2601
<http://www.actewagl.com.au>



Contents

List of tables	ii
1. Introduction	1
2. Regulated revenue cap	3
2.1 Prices consistent with the regulated revenue cap	3
2.2 Maximum average revenue for prescribed services	3
3. Distribution use of system charges	5
4. Miscellaneous service charges	7
5. Transmission charges	9
5.1 TUOS charges	9
5.2 Charges for emergency supply arrangement for the ACT	9
5.2 Network use of system charges	12
6. Excluded Services	15
6.1 Regulated metering service charges	15
7. Price changes	17
7.1 Network prices excluding metering	17
7.2 Change in metering charges	18
7.3 Network prices including metering	19
8. Discussion of price changes	21
8.1 Network use of system charges	21
8.2 Miscellaneous service charges	22
8.3 Impact on consumer bills	23
8.4 Compliance with the medium term strategy	29
9. Distribution services	31
9.1 Expected level of service	31

List of tables

Table 2.1	Calculation of the Maximum Average Revenue 2006/07	4
Table 3.1	Distribution use of system charges 2006/07	5
Table 4.1	Proposed miscellaneous fees and charges 2006/07	7
Table 5.1	Transmission charges 2006/07	11
Table 5.2	Network use of system charges 2006/07 (excluding GST)	12
Table 6.1	Proposed metering charges 2006/07	15
Table 7.1	Network charges 2006/07 (excluding metering)	17
Table 7.2	Proposed metering charges 2006/07	18
Table 7.3	Network charges 2006/07 (including metering, excluding GST)	19
Table 8.1	Changes to miscellaneous service charges	23
Table 8.2	Impact on typical domestic customers' forecast bills	24
Table 8.3	Impact on typical domestic customers' forecast network prices	24
Table 8.4	Impact on typical domestic off-peak customers' network bills	25
Table 8.5	Impact on typical domestic off-peak customers' average network prices	25
Table 8.6	Impact on typical general network charge customers' network bills	25
Table 8.7	Impact on typical general network charge customers' average prices	26
Table 8.8	Impact on typical general TOU customers' network bills	26
Table 8.9	Impact on typical general TOU customers' average network prices	26
Table 8.10	Impact on typical small business LV demand customers' network bills	27
Table 8.11	Impact on small business LV demand customers' network prices	27
Table 8.12	Impact on medium size LV demand customers' network bills	28
Table 8.13	Impact on medium size LV demand customers' network prices	28
Table 8.14	Impact on large size HV demand customers' network bills	29
Table 8.15	Impact on typical large size HV demand customers' average network prices	29

1. Introduction

The Independent Competition and Regulatory Commission (the Commission), as the jurisdictional regulator for the ACT, is responsible for determining the annual revenue requirement for services provided by ActewAGL's electricity distribution network. The principles under which this revenue requirement is determined are outlined in the National Electricity Rules (the Rules). Translation of the revenue requirement into network pricing is provided for under part E of chapter 6 of the Rules. However, the Rules also allow the Commission, in consultation with Registered Participants, to develop an alternative pricing methodology.

The Commission decided to use an alternative pricing methodology for the regulatory control period commencing on 1 July 2004. As part of that methodology, the Commission requires ActewAGL to provide the following documents explaining charges for prescribed distribution services:

- A pricing strategy statement. The pricing strategy statement for the period 2004/05 to 2008/09 was provided to the Commission together with ActewAGL's annual pricing statement for 2004/05 in May 2004; and
- An annual pricing statement. The annual pricing statement for 2006/07 is this document.

The Commission requires that the annual pricing reports contain:

- A demonstration of compliance with the determined revenue cap (the Commission has indicated that it will consider this section of the report commercial in confidence and will not require it to be made publicly available);
- A list of new prices;
- A discussion of price changes (in excess of 5% higher than the natural price change allowed by the Commission's determination) or changes in the structure of prices, and any new or obsolete tariffs;
- A demonstration of the impact on typical customers' bills and forecast average prices (based on typical bill categories as set by the Energy Supply Association of Australia);
- An explanation of how these prices comply with the medium term pricing strategy, or any change in the strategy (substantial change to the strategy requires a new pricing strategy to be approved by the Commission);
- An outline of the expected levels of service and projected capital expenditure programs for the year;
- An outline of the expected consumption for major customer classes and maximum demand for the year.

Once the Commission has approved prices for the coming financial year, this document is to be disclosed publicly on ActewAGL's and the Commission's websites together with the pricing strategy statement already published.

2. Regulated revenue cap

2.1 Prices consistent with the regulated revenue cap

The Commission regulates ActewAGL's electricity distribution charges through its Price Direction for the five-year period from 1 July 2004.¹

The Commission has prescribed that the price of distribution services associated with the conveyance of electricity through the distribution system, including miscellaneous monopoly services, are subject to economic regulation and regulated using a maximum average revenue cap. All metering services, including those for consumers using less than 160 MWh per annum, will be subject to competition from 1 January 2007². The Commission has excluded metering services from the revenue cap for prescribed distribution services and regulates metering charges for consumers using less than 160 MWh per annum under a separate revenue cap for such excluded distribution services (see Section 6).

2.2 Maximum average revenue for prescribed services

ActewAGL's distribution prices are regulated using a maximum average revenue cap. In its Final Decision of March 2004, the Commission determined the maximum average revenue for 2003/04 to be \$0.0383 per kWh³.

To calculate the maximum average revenue for 2006/07, the following formula is used:

$$\text{Maximum average revenue per kWh} = (1 + (\text{CPI}_t + X)) \times (\text{MAR}_{t-1})$$

where:

- MAR_{t-1} is the maximum average revenue per kWh in the previous year; and
- CPI means the Consumer Price Index, All Groups Index number for the weighted average of eight capital cities.
- The CPI figure will be determined using the following formula:

$$\text{CPI}_{(t)} = \frac{\text{CPI}_{\text{March}(t-2)} + \text{CPI}_{\text{June}(t-2)} + \text{CPI}_{\text{Sept}(t-1)} + \text{CPI}_{\text{Dec}(t-1)}}{\text{CPI}_{\text{March}(t-3)} + \text{CPI}_{\text{June}(t-3)} + \text{CPI}_{\text{Sept}(t-2)} + \text{CPI}_{\text{Dec}(t-2)}} - 1$$

where:

- year t is the year for which tariffs are being set; and
- year t – 1 is the previous regulatory year.

The CPI adjustment figure for the year commencing 1 July 2006 is calculated as follows:

¹ ICRC 2004, *Final Decision – Investigation into prices for electricity distribution services in the ACT*, Appendix 2.

² Subject to proceeding with proposed changes in the National Electricity Rules.

³ ICRC 2004, p xxv.

$$CPI_{(2005)} = \frac{CPI_{March(2005)} + CPI_{June(2005)} + CPI_{Sept(2005)} + CPI_{Dec(2005)}}{CPI_{March(2004)} + CPI_{June(2004)} + CPI_{Sept(2004)} + CPI_{Dec(2004)}} - 1$$

Therefore:

$$CPI_{(2005)} = \frac{147.5 + 148.4 + 149.8 + 150.6}{144.1 + 144.8 + 145.4 + 146.5} - 1$$

$$CPI_{(2005)} = \frac{596.3}{580.8} - 1$$

$$CPI_{(2005)} = 2.67\%$$

The Commission has determined the X factor for 2006/07 to be zero. The CPI is applied to the maximum average revenue for 2005/06 to obtain the maximum average revenue in 2006/07. The calculations of the maximum average revenue are shown in Table 2.1.

Table 2.1 Calculation of the Maximum Average Revenue 2006/07

	Base MAR	X Factor	CPI	MAR
2004/05	\$0.0383	6.80%	2.77%	\$0.03676
2005/06	\$0.03676	0%	2.34%	\$0.03762
2006/07	\$0.03762	0%	2.67%	\$0.03862

The maximum average revenue cap is applied to the actual energy sales in the previous calendar year⁴ to establish a price cap for the following financial year. Therefore, the prices for 2006/07 are based upon sales in 2005.

⁴ ICRC 2004, Appendix 2. Part 3 (p 132).

3. Distribution use of system charges

The price cap for distribution use of system (DUOS) charges is the residual after deducting miscellaneous fees and charges revenue from the prescribed distribution services revenue cap.

ActewAGL has prepared distribution use of system prices for 2006/07 as shown in Table 3.1.

Table 3.1 Distribution use of system charges 2006/07

<i>Customer Class</i>	<i>2005/06 DUOS Prices (Excluding GST)</i>	<i>2006/07 DUOS Prices (Excluding GST)</i>
Residential Standard Network		
Supply Charge (c/day)	11.60	12.50
Energy (c/kWh)	3.24	3.40
Residential 5,000 Network		
Supply Charge (c/day)	31.60	32.5
Energy (c/kWh)		
To 60 kWh per day	1.64	1.8
Greater than 60kWh per day	3.24	3.4
Residential Heat Pump Network		
Supply Charge (c/day)	74.60	75.5
Energy (c/kWh)		
To 165 kWh per day	0.14	0.3
Greater than 165 kWh per day	3.24	3.4
Solar Energy	0	0
Off-Peak (1/2) Night Network (c/kWh)	0.04	0.10
Off-Peak (3) Day & Night Network (c/kWh)	0.50	0.50
General Network		
Supply Charge (c/day)	23.60	24.10
Energy (c/kWh)		
To 330 kWh per day	5.60	5.57
Greater than 330 kWh per day	7.45	7.43
General TOU Network		
Supply Charge (c/day)	25.00	25.00
Business (c/kWh)	7.95	8.00
Evening (c/kWh)	4.35	4.45
Off-Peak (c/kWh)	2.20	2.30
LV TOU Demand Network		
Supply (\$/day)	0.25	0.25
Business (c/kWh)	1.64	1.75
Evening (c/kWh)	1.62	1.70
Off-Peak (c/kWh)	0.90	1.05
Maximum Demand (c/kVA/day)	26.60	26.60
or (c/KW/day)	44.30	44.30

<i>Customer Class</i>	<i>2005/06 DUOS Prices (Excluding GST)</i>	<i>2006/07 DUOS Prices (Excluding GST)</i>
HV TOU Demand Network - Customer LV		
Supply (\$/day)	12.00	12.00
Business (c/kWh)	1.40	1.50
Evening (c/kWh)	1.35	1.43
Off-Peak (c/kWh)	0.75	0.90
Maximum Demand (c/kVA/day)	10.00	10.00
Capacity Charge (c/kVA/day)	10.00	10.00
HV TOU Demand Network		
Supply (\$/day)	12.00	12.00
Business (c/kWh)	1.65	1.75
Evening (c/kWh)	1.55	1.65
Off-Peak (c/kWh)	0.85	1.00
Maximum Demand (c/kVA/day)	10.00	10.00
Capacity Charge (c/kVA/day)	10.00	10.00
Streetlight Network		
Supply Charge (c/day)	23.60	24.10
Energy (c/kWh)	3.06	3.18
Small Unmetered Loads Network		
Supply Charge (\$/day)		
Small Unmetered loads with assessed ratings of:		
50 Watts or less	12.00	12.0
more than 50 but less than 150W	24.00	24.0
more than 150 but less than 300W	48.00	48.0
Supply charge (c/W per day)		
more than 300 W but less than 1kW	0.157	0.157
Internal Network		
Supply (c/day)	3.90	4.00
Energy (c/kWh)	0.2695	0.21

4. Miscellaneous service charges

ActewAGL proposes charges for prescribed miscellaneous services as shown in Table 4.1.

Table 4.1 Proposed miscellaneous fees and charges 2006/07

<i>Service charges</i>	<i>Price Excluding GST</i>
For visit to re-energise or de-energise a premises	
• Business Hours - re-energise	\$42.73
• After Hours - re-energise	\$90.91
• Business Hours - de-energise	\$38.18
Meter test during business hours (refundable deposit)	\$52.73
De-energise premises for non-payment	\$70.91
Special meter reading, for example check read (second in billing period)	\$27.27
Temporary Connections	
• Overhead	\$305.45
• Standard underground	\$439.09
• Free standing underground	\$534.55
Overhead: Remove, reposition or disconnect service, per site visit	\$220.00
Underground: Remove, reposition or disconnect service, per site visit	\$522.73
Upgrade service from single to three phase at customer's request where load does not justify 3 phase (S&I Rules clause 3.10)	
• Overhead	\$281.82
• Underground - Service Cable not required	\$281.82
• Underground - Service Cable Replacement required	\$522.73
Installation defect (where a revisit to a site is necessitated by obstructed access or non-compliance with S&I Rules)	\$143.64
Issue of copies of electrical drawings (per sheet or electronic equivalent)	\$11.36
De-energise wires (to allow safer approach, eg, for tree pruning, plant operation, oversize loads, construction activities)	\$359.09

5. Transmission charges

The Australian Energy Regulator (AER) regulates transmission network service providers and determines transmission use of system (TUOS) charges. The National Electricity Rules (NER)⁵ provide for distributors to recover transmission costs as follows:

- 6.10.5 In respect of distribution services subject to economic regulation pursuant to 6.10.4(a):
- ...
- (d) ... the *Jurisdictional Regulator* must take into account each *Distribution Networks Owner's* revenue requirements during the *regulatory control period*, having regard for:
- ...
- (7) the right of the *Distribution Network Owner* or *Distribution Network Service Provider* (as appropriate) to recover reasonable costs arising from, but not limited to:
- ...
- (ii) charges paid to *Transmission Network Service Providers* and other *Distribution Network Service Providers* arising from the provision of distribution services.

The Commission cites this NER provision in its Final Decision⁶, and allows ActewAGL to pass through transmission charges, stating that:

The commission will continue to pass through TUOS charges in line with clause 6.10.5(d)(7)(ii) of the [National Electricity Code] [the predecessor of the NER].

The total transmission costs to be recovered in 2006/07 using the 2005 load profile is \$16,334,871. The basis of these costs is explained in the following two sections. The pass-through transmission charges that recover these costs are shown in Table 5.1.

5.1 TUOS charges

TransGrid is yet to publish its transmission charges for NSW and the ACT. TransGrid sources indicate that TUOS prices will rise about 7.5% in 2006/07.

5.2 Charges for emergency supply arrangement for the ACT

The ACT Government is currently developing more stringent reliability criteria for the supply of electricity to the ACT. These new network service criteria have been drafted by the Chief Minister's Department (CMD) after consultation with TransGrid and ActewAGL. The latest advice from CMD is that a new regulation covering the proposed criteria will create a legal obligation for TransGrid as the transmission network service provider to plan, design, maintain and operate their network to achieve the following objectives in relation to the supply to the ACT:

⁵ National Electricity Rules, Clause 6.10.5(d)(7)(ii).

⁶ ICRC 2004, Chapter 17 (p 119).

- a) To provide two or more geographically separate connection points operated at 132 kV and above to supply electricity to the ACT network connection points;
- b) To continue to allow electricity supply to the ACT network connection point(s) immediately after a special contingency event to a required minimum total capability; and
- c) Using their best endeavours, to restore electricity supply to the ACT network connection points after a special contingency event within the minimum period possible, but no longer than 48 hours, to a required minimum total capability.

Due to concerns over potential security of supply problems and in anticipation of the new regulation, work on the emergency supply (objective c) above) has been expedited. TransGrid has developed and implemented an emergency response plan that utilises the Yass to Canberra 330kV line operating at 132kV, allowing up to 200MVA to be supplied to ActewAGL from the Yass 330/132kV substation. The 132kV bypass would be operated only when there is a *non-credible contingency* at Canberra 330/132kV substation resulting in the *total loss of exit service* to ActewAGL from this substation. For the longer term, the assets are being designed to be capable of use at 330kV, enabling the future of an emergency supply arrangement of up to 375MVA to be implemented once a proposed new substation at Williamsdale has been established in accordance with the objective a) above.

Construction of the emergency supply project was completed on 30 November 2005.

Table 5.1 Transmission charges 2006/07

<i>Customer Class</i>	<i>2006/07 TUOS Charges (Excluding GST)</i>
Residential Standard Network	
Energy (c/kWh)	0.50
Residential 5,000 Network	
Energy (c/kWh)	
To 60 kWh per day	0.50
Greater than 60kWh per day	0.50
Residential Heat Pump Network	
Energy (c/kWh)	
To 165 kWh per day	0.50
Greater than 165 kWh per day	0.50
Off-Peak (1/2) Night Network (c/kWh)	0.10
Off-Peak (3) Day & Night Network (c/kWh)	0.30
General Network	
Energy (c/kWh)	
To 330 kWh per day	0.80
Greater than 330 kWh per day	0.84
General TOU Network	
Business (c/kWh)	2.00
Evening (c/kWh)	1.00
LV TOU Demand Network	
Business (c/kWh)	0.75
Evening (c/kWh)	0.55
Maximum Demand (c/kVA/day)	3.40
or (c/KW/day)	5.70
HV TOU Demand Network - Customer LV	
Business (c/kWh)	0.70
Evening (c/kWh)	0.50
Maximum Demand (c/kVA/day)	2.00
Capacity Charge (c/kVA/day)	2.00
HV TOU Demand Network	
Business (c/kWh)	0.70
Evening (c/kWh)	0.50
Maximum Demand (c/kVA/day)	2.00
Capacity Charge (c/kVA/day)	2.00
Streetlighting Network	
Energy (c/kWh)	0.52
Small Unmetered Loads Network	
Supply Charge (\$/day)	
50 Watts or less	1.00
more than 50 but less than 150 W	2.00
more than 150 but less than 300 W	4.00
more than 300 W but less than 1 kW	0.013
Internal Network	
Energy (c/kWh)	0.29

5.2 Network use of system charges

The proposed network use of system charges (NUOS) comprise the distribution use of system charges (DUOS) and the TUOS charges for 2006/07 as shown in Table 5.2.

Table 5.2 Network use of system charges 2006/07 (excluding GST)

<i>Customer Class</i>	<i>2005/06 Network Prices</i>	<i>2006/07 DUOS Prices</i>	<i>2006/07 TUOS charges</i>	<i>2006/07 Network Prices</i>
Residential Standard Network				
Supply Charge (c/day)	11.60	12.50		12.50
Energy (c/kWh)	3.70	3.40	0.50	3.90
Residential 5,000 Network				
Supply Charge (c/day)	31.60	32.50		32.50
Energy (c/kWh)				
To 60 kWh per day	2.10	1.80	0.50	2.30
Greater than 60kWh per day	3.70	3.40	0.50	3.90
Residential Heat Pump Network				
Supply Charge (c/day)	74.60	75.50		75.50
Energy (c/kWh)				
To 165 kWh per day	0.60	0.30	0.50	0.80
Greater than 165 kWh per day	3.70	3.40	0.50	3.90
Solar Energy		0.00	0.00	0.00
Off-Peak (1/2) Night Network (c/kWh)	0.10	0.10	0.10	0.20
Off-Peak (3) Day & Night Network (c/kWh)	0.60	0.50	0.30	0.80
General Network				
Supply Charge (c/day)	23.60	24.10		24.10
Energy (c/kWh)				
To 330 kWh per day	6.20	5.57	0.80	6.37
Greater than 330 kWh per day	8.10	7.43	0.84	8.27
General TOU Network				
Supply Charge (c/day)	25.00	25.00		25.00
Business (c/kWh)	9.75	8.00	2.00	10.00
Evening (c/kWh)	5.25	4.45	1.00	5.45
Off-Peak (c/kWh)	2.20	2.30		2.30
LV TOU Demand Network				
Supply (\$/day)	0.25	0.25		0.25
Business (c/kWh)	2.24	1.75	0.75	2.50
Evening (c/kWh)	2.05	1.70	0.55	2.25
Off-Peak (c/kWh)	0.90	1.05		1.05
Maximum Demand (c/kVA/day)	30.00	26.60	3.40	30.00
or (c/KW/day)	50.00	44.30	5.70	50.00

<i>Customer Class</i>	<i>2005/06 Network Prices</i>	<i>2006/07 DUOS Prices</i>	<i>2006/07 TUOS charges</i>	<i>2006/07 Network Prices</i>
HV TOU Demand Network - Customer LV				
Supply (\$/day)	12.00	12.00		12.00
Business (c/kWh)	1.95	1.50	0.70	2.20
Evening (c/kWh)	1.75	1.43	0.50	1.93
Off-Peak (c/kWh)	0.75	0.90		0.90
Maximum Demand (c/kVA/day)	12.00	10.00	2.00	12.00
Capacity Charge (c/kVA/day)	12.00	10.00	2.00	12.00
HV TOU Demand Network				
Supply (\$/day)	12.00	12.00		12.00
Business (c/kWh)	2.20	1.75	0.70	2.45
Evening (c/kWh)	1.95	1.65	0.50	2.15
Off-Peak (c/kWh)	0.85	1.00		1.00
Maximum Demand (c/kVA/day)	12.00	10.00	2.00	12.00
Capacity Charge (c/kVA/day)	12.00	10.00	2.00	12.00
Streetlighting Network				
Supply Charge (c/day)	23.60	24.10		24.10
Energy (c/kWh)	3.50	3.18	0.52	3.70
Small Unmetered Loads Network				
Supply Charge (\$/day)				
Small Unmetered loads with assessed ratings of:				
50 Watts or less	13.00	12.00	1.00	13.00
more than 50 but less than 150 W	26.00	24.00	2.00	26.00
more than 150 but less than 300 W	52.00	48.00	4.00	52.00
Supply charge (c/W per day)				
more than 300 W but less than 1 kW	0.17	0.157	0.013	0.170
Internal Network				
Supply (c/day)	3.90	4.00		4.00
Energy (c/kWh)	0.47	0.21	0.29	0.50

6. Excluded Services

6.1 Regulated metering service charges

The Commission capped revenue from metering for ActewAGL customers consuming less than 160 MWh at \$5.09 million in 2004/05. The amount is to be adjusted for inflation over the regulatory period. In 2005/06, the cap was \$5,209,106. In 2005, the inflation rate was 2.67%, raising the revenue cap for metering services for 2006/07 to \$5,348,189. This cap applies also to revenue from miscellaneous fees and charges relating to metering.

In the Final Decision of its Review of Metrology Procedures (the metrology decision), the Commission makes it clear that it does not intend for ActewAGL to be disadvantaged by the Commission's decision to mandate the roll out of interval meters⁷ and that "the draft decision ensured that ActewAGL Distribution's revenue would be protected from any costs the business incurred in the installation of interval meters as required by the decision".⁸

As part of the metrology decision⁹, the Commission requires ActewAGL to provide to the Commission by 31 March 2006 a submission outlining its proposal for the installation of interval meters. To be able to comply with this requirement, ActewAGL has engaged an expert on metering to prepare its proposal. ActewAGL has proposed to recover the cost of the expert in its metering charges for 2006/07.

The proposed metering charges and the forecast revenue from those charges are shown in Table 6.1.

Table 6.1 Proposed metering charges 2006/07

	2005/06 Price \$ per day (excluding GST)	2006/07 Price \$ per day (excluding GST)
Residential accumulation meters	\$0.094	\$0.095
Business accumulation meters	\$0.164	\$0.169
Internal accumulation meters	\$0.051	\$0.050
Business time of use meters	\$0.75	\$0.75
Business interval meters	\$1.75	\$1.75
Special meter reading	\$25.00	\$27.27
Meter test (deposit)	\$50.00	\$52.73

⁷ ICRC 2005, *Final Decision, Review of Metrology Procedures*, Report 15 of 2005, December, p11

⁸ ICRC 2005, p13

⁹ ICRC 2005, p28

7. Price changes

7.1 Network prices excluding metering

Network charges for 2006/07, *excluding* metering, are shown in Table 7.1.

Table 7.1 Network charges 2006/07 (excluding metering)

Customer Class	2006/07 Network Charges	
	(excluding GST)	(including GST)
Residential Standard Network		
Supply Charge (c/day)	12.50	13.75
Energy (c/kWh)	3.90	4.29
Residential 5,000 Network		
Supply Charge (c/day)	32.50	35.75
Energy (c/kWh)		
To 60 kWh per day	2.30	2.53
Greater than 60kWh per day	3.90	4.29
Residential Heat Pump Network		
Supply Charge (c/day)	75.50	83.05
Energy (c/kWh)		
To 165 kWh per day	0.80	0.88
Greater than 165 kWh per day	3.90	4.29
Solar Energy	0.00	
Off-Peak (1/2) Night Network (c/kWh)	0.20	0.22
Off-Peak (3) Day & Night Network (c/kWh)	0.80	0.88
General Network		
Supply Charge (c/day)	24.10	26.51
Energy (c/kWh)		
To 330 kWh per day	6.37	7.007
Greater than 330 kWh per day	8.27	9.097
General TOU Network		
Supply Charge (c/day)	25.00	27.50
Business (c/kWh)	10.00	11.00
Evening (c/kWh)	5.45	5.995
Off-Peak (c/kWh)	2.30	2.53
LV TOU Demand Network		
Supply (\$/day)	0.25	0.275
Business (c/kWh)	2.50	2.75
Evening (c/kWh)	2.25	2.475
Off-Peak (c/kWh)	1.05	1.155
Maximum Demand (c/kVA/day)	30.00	33.00
or (c/KW/day)	50.00	55.00

Customer Class	2006/07 Network Charges	
	(excluding GST)	(including GST)
HV TOU Demand Network - Customer LV		
Supply (\$/day)	12.00	13.20
Business (c/kWh)	2.20	2.42
Evening (c/kWh)	1.93	2.123
Off-Peak (c/kWh)	0.90	0.99
Maximum Demand (c/kVA/day)	12.00	13.20
Capacity Charge (c/kVA/day)	12.00	13.20
HV TOU Demand Network		
Supply (\$/day)	12.00	13.20
Business (c/kWh)	2.45	2.695
Evening (c/kWh)	2.15	2.365
Off-Peak (c/kWh)	1.00	1.10
Maximum Demand (c/kVA/day)	12.00	13.20
Capacity Charge (c/kVA/day)	12.00	13.20
Streetlighting Network		
Supply Charge (c/day)	24.10	26.51
Energy (c/kWh)	3.70	4.07
Small Unmetered Loads Network		
Supply Charge (\$/day)		
Small Unmetered loads with assessed ratings of:		
50 Watts or less	13.00	14.30
more than 50 but less than 150 W	26.00	28.60
more than 150 but less than 300 W	52.00	57.20
Supply charge (c/W per day)		
more than 300 W but less than 1 kW	0.17	0.187
Internal Network		
Supply (c/day)	4.00	4.40
Energy (c/kWh)	0.50	0.55

7.2 Change in metering charges

The change in metering charges in 2006/07 for customer with loads less than 160 MWh per annum is shown in Table 7.2.

Table 7.2 Proposed metering charges 2006/07

	2005/06 Price \$ per day (excluding GST)	2006/07 Price \$ per day (excluding GST)	Change %
Residential accumulation meters	\$0.094	\$0.095	1.1%
Business accumulation meters	\$0.164	\$0.169	3.0%
Internal accumulation meters	\$0.051	\$0.050	-2.0%
Business time of use meters	\$0.75	\$0.75	0.0%
Business interval meters	\$1.75	\$1.75	0.0%
Special meter reading	\$25.00	\$27.27	9.1%
Meter test (deposit)	\$50.00	\$52.73	5.5%

7.3 Network prices including metering

For comparative purposes, prices *including* metering are listed in Table 7.3 with the rate of increase for each component and the total for the average customer, where appropriate.

Table 7.3 Network charges 2006/07 (including metering, excluding GST)

Customer Class	2004/05 Network Charges	2005/06 Network Charges	2006/07 Network Charges	04/05 to 06/07 Price Change	05/06 to 06/07 Price Change
Residential Standard Network					
Network access charge (c/day)	20.70	21.00	22.00	6.3%	4.8%
Energy (c/kWh)	3.90	3.70	3.90	0.0%	5.4%
Net change for average consumer				1.4%	5.3%
Residential 5,000 Network					
Network access charge (c/day)	41.00	41.00	42.00	2.4%	2.4%
Energy (c/kWh)					
To 60 kWh per day	2.30	2.10	2.30	0.0%	9.5%
Greater than 60kWh per day	3.90	3.70	3.90	0.0%	5.4%
Net change for average consumer				1.0%	6.4%
Residential Heat Pump Network					
Network access charge (c/day)	84.00	84.00	85.00	1.2%	1.2%
Energy (c/kWh)					
To 165 kWh per day	0.80	0.60	0.80	0.0%	33.3%
Greater than 165 kWh per day	3.90	3.70	3.90	0.0%	5.4%
Net change for average consumer				0.8%	9.2%
Solar Energy	0.00	0.00	0.00	0.0%	0.0%
Off-Peak (1/2) Night Network (c/kWh)	0.18	0.10	0.20	11.1%	100.0%
Off-Peak (3) Day & Night Network (c/kWh)	0.80	0.60	0.80	0.0%	33.3%
General Network					
Network access charge (c/day)	40.00	40.00	41.00	2.5%	2.5%
Energy (c/kWh)					
To 330 kWh per day	6.35	6.20	6.37	0.3%	2.7%
Greater than 330 kWh per day	8.25	8.10	8.27	0.2%	2.1%
Net change for average consumer				0.5%	2.7%
General TOU Network					
Network access charge (c/day)	95.00	100.00	100.00	5.3%	0.0%
Business (c/kWh)	9.95	9.75	10.00	0.5%	2.6%
Evening (c/kWh)	5.45	5.25	5.45	0.0%	3.8%
Off-Peak (c/kWh)	2.30	2.20	2.30	0.0%	4.5%
Net change for average consumer				0.6%	3.0%

Customer Class	2004/05 Network Charges	2005/06 Network Charges	2006/07 Network Charges	04/05 to 06/07 Price Change	05/06 to 06/07 Price Change
LV TOU Demand Network					
Network Access (\$/day)	2.00	2.00	2.00	0.0%	0.0%
Business (c/kWh)	2.40	2.24	2.50	4.2%	11.6%
Evening (c/kWh)	2.20	2.05	2.25	2.3%	9.8%
Off-Peak (c/kWh)	1.00	0.90	1.05	5.0%	16.7%
Maximum Demand (c/kVA/day)	30.00	30.00	30.00	0.0%	0.0%
or (c/KW/day)	50.00	50.00	50.00	0.0%	0.0%
Net change for average consumer				1.5%	4.3%
HV TOU Demand Network - Customer LV					
Network Access (\$/day)	13.71	13.75	13.75	0.3%	0.0%
Business (c/kWh)	2.10	1.95	2.20	4.8%	12.8%
Evening (c/kWh)	1.89	1.75	1.93	2.1%	10.3%
Off-Peak (c/kWh)	0.85	0.75	0.90	5.9%	20.0%
Maximum Demand (c/kVA/day)	12.00	12.00	12.00	0.0%	0.0%
Capacity Charge (c/kVA/day)	12.00	12.00	12.00	0.0%	0.0%
Net change for average consumer				2.1%	6.1%
HV TOU Demand Network					
Network Access (\$/day)	13.71	13.75	13.75	0.3%	0.0%
Business (c/kWh)	2.35	2.20	2.45	4.3%	11.4%
Evening (c/kWh)	2.10	1.95	2.15	2.4%	10.3%
Off-Peak (c/kWh)	0.98	0.85	1.00	2.0%	17.6%
Maximum Demand (c/kVA/day)	12.00	12.00	12.00	0.0%	0.0%
Capacity Charge (c/kVA/day)	12.00	12.00	12.00	0.0%	0.0%
Net change for average consumer				1.4%	5.4%
Streetlighting Network					
Network access charge (c/day)	40.00	40.00	41.00	2.5%	2.5%
Energy (c/kWh)	3.65	3.50	3.70	1.4%	5.7%
Net change for average consumer				1.4%	5.7%
Small Unmetered Loads Network					
Network access charge (c/day)					
Small Unmetered loads with assessed ratings of:					
50 Watts or less	13.00	13.00	13.00		
more than 50 but less than 150 W	26.00	26.00	26.00		
more than 150 but less than 300 W	52.00	52.00	52.00		
Network access charge (c/W per day)					
more than 300 W but less than 1 kW	0.17	0.17	0.17	0.0%	0.0%
Internal Network					
Network Access (c/day)	9.00	9.00	9.00	0.0%	0.0%
Energy (c/kWh)	0.50	0.47	0.50	0.0%	6.4%
Net change for average consumer				0.0%	4.6%
Net change for average consumer				1.3%	4.9%

8. Discussion of price changes

8.1 Network use of system charges

The Commission's alternative pricing methodology requires "a discussion of price changes (in excess of 5% higher than the natural price change¹⁰ allowed by the commission's determination) or changes in the structure of prices, and any new or obsolete tariffs".¹¹ Given a CPI of 2.67% and an X factor of 0, ActewAGL is required to explain price increases 5% above that level; that is, greater than 7.67%.

Network charges were reduced significantly in 2005/06 as a one-off adjustment to refund to customers the effect of an over-estimate of TUOS charges to be passed through in 2004/05. Prices for 2006/07 increased because of:

- the effect of the one-off TUOS refund on 2005/06 prices;
- the increase in the CPI raising the average revenue cap;
- the increased TUOS charge for 2006/07; and
- the recovery of the TransGrid charge for construction of the emergency supply arrangements to the ACT.

The Off-Peak (1/2) Night Network charge is proposed to increase 100% from 0.1 cents to 0.2 cents per kWh. While this is a relatively large percentage increase, it represents an actual increase of just 0.1 cents per kWh and is 0.02 cents per kWh (11.1%) above the charge for 2004/05. No other charges increase more than 7.67% over two years.

The following charges are proposed to increase by more than 7.67% but are the same as the charges in 2004/05. The increases are a return to the previous price following the TUOS adjustment in 2005/06:

- Residential 5,000 Network, Energy to 60 kWh per day (9.5%);
- Residential Heat Pump Network, Energy to 165 kWh per day (33.3%); and
- Off-Peak (3) Day and Night Network (33.3%).

The following charges are proposed to increase by more than 7.67% from 2005/06 to 2006/07 but the increase in charges from 2004/05 to 2006/07 is less than 7.67%. The increases represent the effect of a low price produced by the one-off adjustment of TUOS in 2005/06, plus the recovery of additional revenue. In all cases, the increase in the network bill for an average customer is less than 7.67%:

- LV TOU Demand Network, Energy Business times (an 11.6% increase from 2005/06 to 2006/07, but only a 4.2% increase from 2004/05 to 2006/07);
- LV TOU Demand Network, Energy Evening times (9.8% 2005/06 to 2006/07, 2.3% 2004/05 to 2006/07);

¹⁰ That is, the CPI plus X increase allowed by the Commission's final price determination.

¹¹ ICRC 2004, Appendix 6 clause 5.2.

- LV TOU Demand Network, Energy Off-peak times (16.7% 2005/06 to 2006/07, 5.0% 2004/05 to 2006/07);
- HV TOU Demand Network - Customer LV, Energy Business times (12.8% 2005/06 to 2006/07, 4.8% 2004/05 to 2006/07);
- HV TOU Demand Network - Customer LV, Energy Evening times (10.3% 2005/06 to 2006/07, 2.1% 2004/05 to 2006/07);
- HV TOU Demand Network - Customer LV, Energy Off-peak times (20.0% 2005/06 to 2006/07, 5.9% 2004/05 to 2006/07);
- HV TOU Demand Network, Energy Business times (4.3% 2005/06 to 2006/07, 11.4% 2004/05 to 2006/07);
- HV TOU Demand Network, Energy Evening times (10.3% 2005/06 to 2006/07, 2.4% 2004/05 to 2006/07); and
- HV TOU Demand Network, Energy Off-peak times (17.6% 2005/06 to 2006/07, 2.0% 2004/05 to 2006/07);

8.2 Miscellaneous service charges

Most miscellaneous service charges have increased around 5% for 2006/07. The charge for a special meter reading is increasing from \$27 to \$30, an increase of 9.1%, to bring it into line with the charge for a special reading for gas.

The proposed charges are shown in Table 8.1.

Table 8.1 Changes to miscellaneous service charges

Service charges	Price 2005/06 Including GST	Price 2006/07 Including GST	Change
For visit to re-energise or de-energise premises			
• Business Hours - re-energise	\$45.00	\$47.00	4.4%
• After Hours - re-energise	\$95.00	\$100.00	5.3%
• Business Hours - de-energise	\$40.00	\$42.00	5.0%
Meter test during business hours (refundable deposit)	\$55.00	\$58.00	5.5%
De-energise premises for non-payment	\$75.00	\$78.00	4.0%
Special meter reading, for example check read (second in billing period)	\$27.50	\$30.00	9.1%
Temporary Connections			
• Overhead	\$320.00	\$336.00	5.0%
• Standard underground	\$460.00	\$483.00	5.0%
• Free standing underground	\$560.00	\$588.00	5.0%
Overhead: Remove, reposition or disconnect service, per site visit	\$230.00	\$242.00	5.2%
Underground: Remove, reposition or disconnect service, per site visit	\$550.00	\$575.00	4.5%
Upgrade service from single to three phase at customer's request where load does not justify 3 phase (S&I Rules clause 3.10)			
• Overhead	\$295.00	\$310.00	5.1%
• Underground - Service Cable not required	\$295.00	\$310.00	5.1%
• Underground - Service Cable Replacement required	\$550.00	\$575.00	4.5%
Installation defect (applied where a revisit to a site is necessitated by obstructed access or non-compliance with Service and Installation Rules.)	\$150.00	\$158.00	5.3%
Issue of copies of electrical drawings (per sheet or electronic equivalent)	\$12.00	\$12.50	4.2%
De-energise wires (to allow safer approach, eg, for tree pruning, plant operation, oversize loads, construction activities)	\$375.00	\$395.00	5.3%

8.3 Impact on consumer bills

The Commission requires that ActewAGL demonstrate the impact on typical customers' bills and forecast average prices (based on typical bill categories as set by the Energy Supply Association of Australia (ESAA)).

8.3.1 Domestic network electricity price

ActewAGL has three domestic electricity network charges:

- Residential Standard Network charge;
- Residential 5,000 network charge; and
- Residential with Heat Pump network charge.

The impact on typical domestic customers' bills based on typical bill categories as set by the ESAA is shown in Table 8.2. These bills include metering.

Table 8.2 Impact on typical domestic customers' forecast bills

Network Charge Name	Typical Domestic Network Electricity Bills including GST							
	Consumption - kWh per year							
	Year	600	1,200	2,500	3,500	5,000	7,500	10,000
Residential Standard	2005/06	\$108.74	\$133.16	\$186.07	\$226.77	\$287.82	\$389.57	\$491.32
	2006/07	\$114.07	\$139.81	\$195.58	\$238.48	\$302.83	\$410.08	\$517.33
	Change %	4.9%	5.0%	5.1%	5.2%	5.2%	5.3%	5.3%
Residential 5,000	2005/06	\$178.48	\$192.34	\$222.37	\$245.47	\$280.12	\$337.87	\$395.62
	2006/07	\$183.81	\$198.99	\$231.88	\$257.18	\$295.13	\$358.38	\$421.63
	Change %	3.0%	3.5%	4.3%	4.8%	5.4%	6.1%	6.6%
Residential with Heat Pump	2005/06	\$341.22	\$345.18	\$353.76	\$360.36	\$370.26	\$386.76	\$403.26
	2006/07	\$346.56	\$351.84	\$363.28	\$372.08	\$385.28	\$407.28	\$429.28
	Change %	1.6%	1.9%	2.7%	3.3%	4.1%	5.3%	6.5%

The impact on typical domestic customers' forecast average network prices, including metering, is shown in Table 8.3.

Table 8.3 Impact on typical domestic customers' forecast network prices

Network Charge Name	Typical Domestic Network Forecast Average Prices							
	Consumption - kWh per year							
	Year	600	1,200	2,500	3,500	5,000	7,500	10,000
Residential Standard	2005/06	18.12	11.10	7.44	6.48	5.76	5.19	4.91
	2006/07	19.01	11.65	7.82	6.81	6.06	5.47	5.17
	Change %	4.9%	5.0%	5.1%	5.2%	5.2%	5.3%	5.3%
Residential 5,000	2005/06	29.75	16.03	8.89	7.01	5.60	4.50	3.96
	2006/07	30.64	16.58	9.28	7.35	5.90	4.78	4.22
	Change %	3.0%	3.5%	4.3%	4.8%	5.4%	6.1%	6.6%
Residential with Heat Pump	2005/06	56.87	28.77	14.15	10.30	7.41	5.16	4.03
	2006/07	57.76	29.32	14.53	10.63	7.71	5.43	4.29
	Change %	1.6%	1.9%	2.7%	3.3%	4.1%	5.3%	6.5%

8.3.2 Domestic off-peak in conjunction with domestic network charge

ActewAGL offers three domestic off-peak network charges:

- Off-peak (1) Night (obsolete);
- Off-peak (2) Night (obsolete and at the same rate as off-peak (1) night); and
- Off-Peak (3) Day & Night.

These charges are available to domestic consumers on the Residential Standard Network charge. The impact on typical customers' bills of the proposed network charges for the off-peak based on typical bill categories as set by the ESAA is shown in Table 8.4. The prices for 2006/07 have been compared not only to prices in 2005/06 but also to 2004/05.

Table 8.4 Impact on typical domestic off-peak customers' network bills

Network Charge Name	Typical Domestic Network Electricity Bills with Off-peak including GST						
	Consumption - kWh per year						
	Aggregate	5,000	5,000	7,500	7,500	13,000	13,000
	Off-peak	1,300	2,500	2,000	5,000	3,900	6,500
Residential standard with off-peak (1/2) night	2004/05	\$244.41	\$195.31	\$323.02	\$200.26	\$481.22	\$374.83
	2005/06	\$236.34	\$188.82	\$310.37	\$191.57	\$458.98	\$356.02
	2006/07	\$249.92	\$201.08	\$328.68	\$206.58	\$487.30	\$381.48
	Change 4/5 to 6/7	2.3%	3.0%	1.8%	3.2%	1.3%	1.8%
	Change 5/6 to 6/7	5.7%	6.5%	5.9%	7.8%	6.2%	7.2%
Residential standard with off-peak (3) day & night	2004/05	\$253.28	\$212.36	\$336.66	\$234.36	\$507.82	\$419.16
	2005/06	\$243.49	\$202.57	\$321.37	\$219.07	\$480.43	\$391.77
	2006/07	\$258.50	\$217.58	\$341.88	\$239.58	\$513.04	\$424.38
	Change 4/5 to 6/7	2.1%	2.5%	1.6%	2.2%	1.0%	1.2%
	Change 5/6 to 6/7	6.2%	7.4%	6.4%	9.4%	6.8%	8.3%

The impact on typical off-peak customers' forecast average network prices is shown in Table 8.5.

Table 8.5 Impact on typical domestic off-peak customers' average network prices

Network Charge Name	Typical Domestic Network Forecast Average Prices c/kWh including GST						
	Consumption - kWh per year						
	Aggregate	5,000	5,000	7,500	7,500	13,000	13,000
	Off-peak	1,300	2,500	2,000	5,000	3,900	6,500
Residential standard with off-peak (1/2) Night	2004/05	4.89	3.91	4.31	2.67	3.70	2.88
	2005/06	4.73	3.78	4.14	2.55	3.53	2.74
	2006/07	5.00	4.02	4.38	2.75	3.75	2.93
	Change 4/5 to 6/7	2.3%	3.0%	1.8%	3.2%	1.3%	1.8%
	Change 5/6 to 6/7	5.7%	6.5%	5.9%	7.8%	6.2%	7.2%
Residential standard with off-peak (3) day & night	2004/05	5.07	4.25	4.49	3.12	3.91	3.22
	2005/06	4.87	4.05	4.28	2.92	3.70	3.01
	2006/07	5.17	4.35	4.56	3.19	3.95	3.26
	Change 4/5 to 6/7	2.1%	2.5%	1.6%	2.2%	1.0%	1.2%
	Change 5/6 to 6/7	6.2%	7.4%	6.4%	9.4%	6.8%	8.3%

8.3.3 Small business electricity prices

The impact on typical small business customers' bills of the proposed network charges for the general network charge based on typical bill categories as set by the ESAA is shown in Table 8.6.

Table 8.6 Impact on typical general network charge customers' network bills

Typical Small Business Network Electricity Bills General Network charge including metering, excluding GST						
Consumption - MWh per year						
Year	6	15	30	40	60	80
2005/06	\$518.00	\$1,076.00	\$2,006.00	\$2,626.00	\$3,866.00	\$5,106.00
2006/07	\$531.85	\$1,105.15	\$2,060.65	\$2,697.65	\$3,971.65	\$5,245.65
Change %	2.7%	2.7%	2.7%	2.7%	2.7%	2.7%

The impact on typical business customers' forecast average network prices is shown in Table 8.7.

Table 8.7 Impact on typical general network charge customers' average prices

Typical Average Small Business Network Electricity Prices General Network Charge including metering Consumption - MWh per year						
Year	6	15	30	40	60	80
	Average electricity price - c/kWh (GST exclusive)					
2005/06	8.63	7.17	6.69	6.57	6.44	6.38
2006/07	8.86	7.37	6.87	6.74	6.62	6.56
Change %	2.7%	2.7%	2.7%	2.7%	2.7%	2.7%

8.3.4 Small business time of use electricity prices

The impact on typical small business customers' bills of the proposed network charges for the general TOU network charge based on typical bill categories as set by the ESAA is shown in Table 8.8. Also shown are the prices using the average profile for consumers on this network tariff in the ACT.

Table 8.8 Impact on typical general TOU customers' network bills

Typical Small Business Network Electricity Bills General TOU Network charge including metering, excluding GST Consumption - MWh per year							
	Year	20	30	40	60	80	100
ESAA profile 25% off-peak	2005/06	\$1,712.50	\$2,386.25	\$3,060.00	\$4,407.50	\$5,755.00	\$7,102.50
	2006/07	\$1,752.50	\$2,446.25	\$3,140.00	\$4,527.50	\$5,915.00	\$7,302.50
	Change %	2.3%	2.5%	2.6%	2.7%	2.8%	2.8%
ActewAGL profile 52% off-peak	2005/06	\$1,409.65	\$1,931.98	\$2,454.30	\$3,498.95	\$4,543.60	\$5,588.25
	2006/07	\$1,442.76	\$1,981.65	\$2,520.53	\$3,598.29	\$4,676.06	\$5,753.82
	Change %	2.3%	2.6%	2.7%	2.8%	2.9%	3.0%

The impact on typical general TOU customers' forecast average network prices is shown in Table 8.9.

Table 8.9 Impact on typical general TOU customers' average network prices

Typical Small Business Network Electricity Prices General TOU Network Charge including metering Consumption - MWh per year							
	Year	20	30	40	60	80	100
		Average electricity price - c/kWh (GST exclusive)					
ESAA profile 25% off-peak	2005/06	8.56	7.95	7.65	7.35	7.19	7.10
	2006/07	8.76	8.15	7.85	7.55	7.39	7.30
	Change %	2.3%	2.5%	2.6%	2.7%	2.8%	2.8%
ActewAGL profile 52% off-peak	2005/06	7.05	6.44	6.14	5.83	5.68	5.59
	2006/07	7.21	6.61	6.30	6.00	5.85	5.75
	Change %	2.3%	2.6%	2.7%	2.8%	2.9%	3.0%

8.3.5 Small business electricity prices for contestable customers

The impact on typical small contestable business customers' bills of the proposed network charges for the low voltage demand network charge based on typical bill categories as set by the ESAA is shown in Table 8.10. It is not possible to duplicate the ESAA profile to derive these prices. Instead of using 100 kW as the maximum demand, a maximum demand of 100 kVA was used. The same energy consumption was used as in the ESAA's analysis. The mix of business, evening and off-peak energy used was that for an average customer on the low voltage demand network charge.

Table 8.10 Impact on typical small business LV demand customers' network bills

Typical Small Business Network Electricity Bills for Contestable Customers Low Voltage Demand charge with annual Peak demand of 100 kVA Includes metering, excludes GST						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	175	263	350	438	526	701
2005/06	\$14,522.65	\$15,943.98	\$17,365.30	\$18,786.63	\$20,207.95	\$23,050.61
2006/07	\$14,878.29	\$16,477.44	\$18,076.59	\$19,675.73	\$21,274.88	\$24,473.17
Change %	2.4%	3.3%	4.1%	4.7%	5.3%	6.2%

The impact on typical small low voltage demand customers' forecast average network prices is shown in Table 8.11.

Table 8.11 Impact on small business LV demand customers' network prices

Typical Small Business Network Electricity Prices for Contestable Customers Low Voltage Demand charge with annual Peak demand of 100 kVA Consumption - MWh per year						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	175	263	350	438	526	701
	Average electricity price - c/kWh (GST exclusive)					
2005/06	8.29	6.07	4.96	4.29	3.84	3.29
2006/07	8.49	6.27	5.16	4.49	4.05	3.49
Change %	2.4%	3.3%	4.1%	4.7%	5.3%	6.2%

8.3.6 Medium size business electricity prices for contestable customers

The impact on typical medium size contestable business customers' bills of the proposed network charges for the low voltage demand network charge based on typical bill categories as set by the ESAA is shown in Table 8.12. As for the small consumers, it was not possible to duplicate the ESAA profile to derive these prices. Instead of using 250 kW as the maximum demand, a maximum demand of 250 kVA was used. The same energy consumption was used as in the ESAA's analysis. The mix of business, evening and off-peak energy used was that for an average customer on the low voltage demand network charge.

Table 8.12 Impact on medium size LV demand customers' network bills

Typical Medium Size Business Network Electricity Bills for Contestable Customers Low Voltage Demand charge with annual Peak demand of 250 kVA Includes metering, excludes GST						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	438	657	876	1,095	1,314	1,752
2005/06	\$35,211.63	\$38,764.94	\$42,318.26	\$45,871.57	\$49,424.89	\$56,531.52
2006/07	\$36,100.73	\$40,098.60	\$44,096.46	\$48,094.33	\$52,092.20	\$60,087.93
Change %	2.5%	3.4%	4.2%	4.8%	5.4%	6.3%

The impact on typical medium size low voltage demand customers' forecast average network prices is shown in Table 8.13.

Table 8.13 Impact on medium size LV demand customers' network prices

Typical Medium Size Business Network Electricity Prices for Contestable Customers Low Voltage Demand charge with annual Peak demand of 250 kVA Consumption - MWh per year						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	438	657	876	1,095	1,314	1,752
	Average electricity price - c/kWh (GST exclusive)					
2005/06	8.04	5.90	4.83	4.19	3.76	3.23
2006/07	8.24	6.10	5.03	4.39	3.96	3.43
Change %	2.5%	3.4%	4.2%	4.8%	5.4%	6.3%

8.3.7 Large size business electricity prices for contestable customers

The impact on typical large size contestable business customers' bills of the proposed network charges for the high voltage demand network charge based on typical bill categories as set by the ESAA is shown in Table 8.14.

As for the low voltage consumers, it was not possible to duplicate the ESAA profile to derive these prices. Instead of using 1,000 kW as the maximum demand, a maximum demand of 1,000 kVA was used and the capacity charge was applied to this as well as to the maximum demand charges. The same amount of energy consumption was used as in the ESAA's analysis. The mix of business, evening and off-peak energy used was that for an average customer on the high voltage demand network charge.

Table 8.14 Impact on large size HV demand customers' network bills

Typical Large Size Business Network Electricity Bills for Contestable Customers High Voltage Demand charge with annual Peak demand of 1,000 kVA Includes metering, excludes GST						
Year	<i>Load Factor</i>					
	20%	30%	40%	50%	60%	80%
	<i>Consumption - MWh per year</i>					
	1,752	2,628	3,504	4,380	5,256	7,008
2005/06	\$116,430.98	\$128,337.09	\$140,243.20	\$152,149.31	\$164,055.43	\$187,867.65
2006/07	\$119,814.89	\$133,412.96	\$147,011.03	\$160,609.10	\$174,207.18	\$201,403.32
Change %	2.9%	4.0%	4.8%	5.6%	6.2%	7.2%

The impact on typical large size high voltage demand customers' forecast average network prices is shown in Table 8.15.

Table 8.15 Impact on typical large size HV demand customers' average network prices

Typical Large Size Business Network Electricity Prices for Contestable Customers High Voltage Demand charge with annual Peak demand of 1,000 kVA Consumption - MWh per year						
Year	<i>Load Factor</i>					
	20%	30%	40%	50%	60%	80%
	<i>Consumption - MWh per year</i>					
	1,752	2,628	3,504	4,380	5,256	7,008
	<i>Average electricity price - c/kWh (GST exclusive)</i>					
2005/06	6.65	4.88	4.00	3.47	3.12	2.68
2006/07	6.84	5.08	4.20	3.67	3.31	2.87
Change %	2.9%	4.0%	4.8%	5.6%	6.2%	7.2%

8.4 Compliance with the medium term strategy

ActewAGL's medium term price strategy is to set network prices to be cost reflective so as to provide consumers with the most appropriate cost signals under the revenue cap. As explained in section 2.2 of ActewAGL's *Pricing Strategy Statement 2004/05 to 2008/09*, ActewAGL's network pricing methodology allocates costs to consumers to generate prices that recover the regulated network revenue. This approach has been continued in preparing its 2006/07 prices.

9. Distribution services

9.1 Expected level of service

ActewAGL's investment in, and maintenance of the network are designed to ensure that the current standards of service will be maintained in 2006/07 consistent with customer requirements as indicated by ActewAGL's willingness to pay study.¹²

¹² NERA & AC Nielsen 2003, *Willingness to Pay Research Study*..